FIEM INDUSTRIES LTD (NSE: FIEMIND | BSE: 532768)

Two-wheeler lighting and mirrors | One-page snapshot | Data as of 19 Oct 2026 close | Report date 20 Oct 2026

ACCUMULATE	₹1,824	₹2,100	+15% | 75/100
Research opinion (our scale)	CMP, 19 Oct 2026	12M target (our estimate)	Upside | scorecard

Business model in two lines

Fiem designs and makes headlamps, tail-lamps, indicators and mirrors and sells them directly to two-wheeler makers (94% OEM sales; TVS 33.7% and Honda 25.2% in Q1 FY27). It earns a price per part set with each customer and recovers raw-material cost increases (about 61% of sales) with a lag of roughly two quarters; LED lighting is 48% of automotive sales.

Investment view

- Quality: 5-yr sales CAGR 18%, ROCE 29%, ROE 23%, no financial debt, 41% payout. P/E 18.2x vs 16.6x FY22–26 average.
- Q1 FY27: sales +17.7%, PAT +12.9% (consolidated); EBITDA margin 13.4% vs guide ~14% as employee cost +30% YoY and material +66 bp; other expenses −3% hid part of it.
- Valuation: DCF ₹1,939 (12M) is close to CMP; the 18x P/E leg gives ₹2,260; blend ₹2,099. Market already prices a ~14.4% steady margin.
- Guidance: 15–20% growth, ~14% margin, capex ~₹100 crore; four-wheeler ramp slipped about two quarters.

Key risks

- Concentration: TVS, Honda and Yamaha ~72% of auto sales (Q1 FY27).
- Governance: promoters 66.6% → 54.5% since Dec-23 (4.45% sold Sep-25); pledge nil.
- Working capital: debtor days 37 → 50; CFO/PAT 0.63 in FY26; ₹82.3 crore fire-insurance claim unsettled.

Catalysts

- Q2 FY27 results (date unconfirmed, ~mid-Nov); margin recovery via pass-through; EV platform ramp (Hero Vida from Hosur); insurance settlement; Dec-26 shareholding.

Scenarios (probabilities are our judgement)

Case	Prob	12M value	vs CMP
Bull	25%	₹2,480	+36%
Base	50%	₹2,099	+15%
Bear	25%	₹1,581	-13%

Financial summary (₹ crore, consolidated)

	FY24	FY25	FY26	FY27E	FY28E	FY29E
Sales	2,029	2,423	2,816	3,280	3,739	4,188
EBITDA	269	322	396	453	524	586
EBITDA margin %	13.2	13.3	14.1	13.8	14.0	14.0
Net profit	166	205	256	286	330	369
EPS (₹)	63.0	77.9	97.2	108.8	125.5	140.0

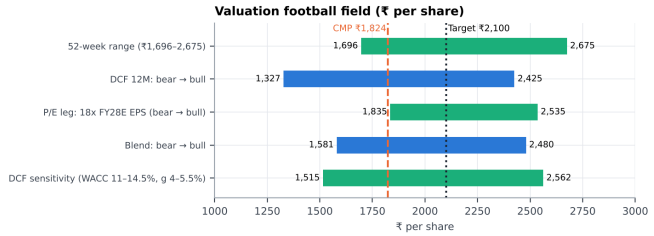
Source: Screener export (actuals); FY27E+ are our estimates.

Key data

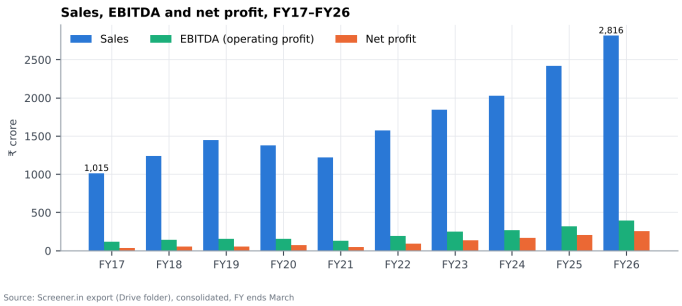
Market cap	₹4,786 crore
52-week high / low	₹2,675 / ₹1,696
P/E | EV/EBITDA | P/B	18.2x | 10.6x | 3.9x
Dividend yield	2.19%
Promoter | FII | DII	54.5% | 5.9% | 11.8% (Sep-26)
Volatility (22 May–19 Aug, ann.)	36%
Beta 5Y (stockanalysis)	0.49 (we use 1.0 in WACC)

Scorecard: 12 of 16 pass = 75/100 (equal weights 6.25)

Fails: promoter stake cut >5 pp, debtor days >45, FCF yield <2%, 6-month return <0. Passes include ROCE, ROE, D/E, CFO/PAT (5y), P/E, growth, margin.



Source: our model (model.py); CMP = 19 Oct 2026 close per Screener.in



Source: Screener.in export (Drive folder), consolidated, FY ends March



Source: stockanalysis.com NSE/BSE history pages (cached snapshots), MarketsMojo (Oct closes), Screener (19 Oct). BSE volume not shown (far smaller than NSE)

Sources: Drive folder (annual reports FY24–26, five earnings calls, two investor decks, Q1 FY27 filing, Screener, Trendlyne 19 Oct 2026). Data gaps: audited notes not read; alpha vs Nifty not computed. Peers (Trendlyne): P/E Fiem 18.3x vs 34–71x. Street target ₹2,835 (3 analysts); ours is lower. All estimates are our own assumptions.

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Verify all data against primary sources before relying on it.